

1.8 UNCLASSIFIED

MARKING SCHEME

2007/CE/I/10(a)

- Some production activities are still undergoing during typhoon.
- Some production activities e.g. emergency services, are generated during typhoon.
- Some production activities disrupted during typhoon can be compensated later.

(2@, max: 4)

[Mark the **FIRST TWO** points only]

2008/CE/I/11(d)

- (i) Part of the decrease in export value would not lead to a corresponding decrease in GDP when, referring to those \$3 billion worth of exports,

- part of it is not locally produced.
 - e.g. some of the production raw materials are imported
 - e.g. part of the value of these exports comes from the value of re-exports
- part of it is not produced in the current year.
 - e.g. some of these exports are second-hand goods
 - e.g. some of these exported goods come from the inventory
- part of those goods not exported have already been produced.
 - e.g. those goods not exported are sold locally

(Any factor, 3)

- (ii) The amount of GDP derived from the spillover effect of the production of the exports will also decrease.

(2)

2016/DSE/II/11(a)

No, because

(1)

public services are usually subsidized - i.e. provided at or below cost, which is in turn lower than market price. Their contribution to GDP (or market value), computed using market price, would thus be higher than \$45 (the subsidized price charged by the clinic).

OR

the public services which are not sold at the market price will be counted using factor cost in the GDP, which is higher than \$45.

(2)

2018/DSE/II/11

The living standard would fall, because the higher proportion of government expenditure or resources / output devoted to national defence would not have much to contribute to the living standard in general.

Overall the citizens would enjoy less goods and services. Since those males drafted for military service are forced to leave their existing jobs, their household income (and consumption) would fall.

(3)